TOPIC 3 · ECONOMIC ISSUES

ABC News analysis (Tom Crowley) · ABS
Friday 30 October 2026

Inflation at 4.3%: why there is no painless way out

> An ABC analysis argues the 'narrow path' to a soft landing promised in 2022 has failed. With an energy shock and an AI investment boom keeping prices high, reducing demand is the only reliable cure, and that hurts.

WHAT HAPPENED

- The ABS reported annual CPI inflation of **4.3%** in September (up from 4.0%), with underlying (trimmed mean) inflation around **3.6–3.7%**, still above the 2–3% target.
- Two forces are adding to demand and costs: a **Middle East energy shock** and an **AI-driven private investment boom** (e.g. data centres).
- Most expect the RBA to lift the cash rate to **4.85%** on Tuesday, its highest level in about 18 years, after almost five years of household pain.
- Alternatives each have limits: **spending cuts or tax rises** are politically hard; **productivity growth** is the root fix but no one knows how to engineer it. Economist Chris Richardson urges governments at least not to add stimulus.

KEY NUMBERS

4.3% annual CPI inflation, Sept

2–3% RBA inflation target

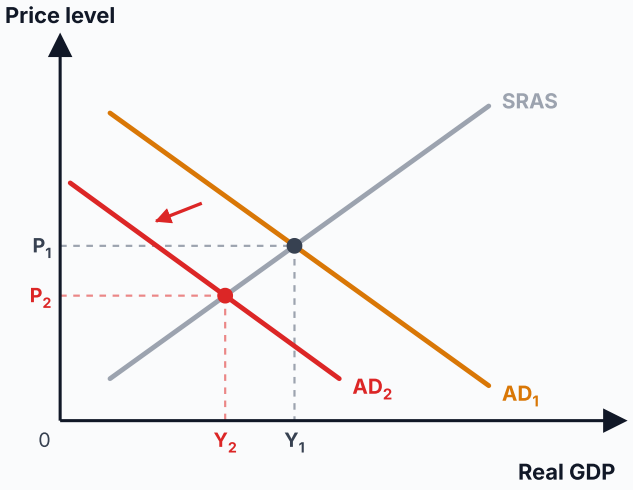
4.85% expected cash rate after Tuesday

~5 yrs of cost-of-living pressure since 2022

Soft landing: bringing inflation down without a recession. **Demand-pull inflation:** prices rise because spending outpaces the economy's capacity.

DIAGRAM

The cure: lower aggregate demand, at a cost



Conceptual diagram, not to scale

Higher interest rates (and any fiscal tightening) reduce consumption and investment, shifting **AD_1 to AD_2**.

The price level is lower than it otherwise would be (P_1 to P_2), which is the goal. But **real GDP also falls** (Y_1 to Y_2), so jobs and incomes suffer. Only a shift of supply (productivity) could lower prices *and* raise output.

Exam angle: use this to discuss **conflicts between objectives**: price stability vs growth and full employment.

FLOW CHART

The transmission mechanism

RBA lifts cash rate → Mortgage repayments rise → Households and firms spend less → **AD falls: inflation eases, at a cost to jobs**

SYLLABUS LINK

Topic 3 – inflation (causes and effects); conflicts between economic objectives.
Topic 4 – the policy mix and limitations of macroeconomic policy.

TRY THIS

Explain why reducing aggregate demand is described as the most reliable cure for inflation, and identify its costs. **(4 marks)**

Discuss the role of productivity growth in achieving both low inflation and sustainable growth. **(6 marks)**

Sources: ABC analysis: abc.net.au/news/2026-10-29/bad-inflation-result-political-pressure/107318484 · ABS CPI: abs.gov.au/media-centre/media-releases/cpi-rose-43-year-september-2026